

MONEY COMPOUNDING

The Complete Guide to Growing
Your Wealth with Mutual Funds



10x

Returns

12%

Avg/Year

30yr

Horizon

100%

Halal

"Your money should work harder than you do."

Chapter 2

Table 1: Invest \$100/Month — Watch It Grow

You invest just **\$100 every single month**. Nothing more. The table below shows your total wealth at the end of each year at three different annual return rates.

8% = conservative fund | 12% = average Islamic mutual fund | 18% = high-performing fund

Year	Total Invested	Value at 8%	Value at 12%	Value at 18%	Gain at 18%
1	\$1,200	\$1,253	\$1,281	\$1,324	\$124
2	\$2,400	\$2,611	\$2,724	\$2,906	\$506
3	\$3,600	\$4,081	\$4,351	\$4,799	\$1,199
4	\$4,800	\$5,673	\$6,183	\$7,061	\$2,261
5	\$6,000	\$7,397	\$8,249	\$9,766	\$3,766
6	\$7,200	\$9,264	\$10,576	\$13,000	\$5,800
7	\$8,400	\$11,286	\$13,198	\$16,867	\$8,467
8	\$9,600	\$13,476	\$16,153	\$21,490	\$11,890
9	\$10,800	\$15,848	\$19,482	\$27,017	\$16,217
10	\$12,000	\$18,417	\$23,234	\$33,626	\$21,626

\$100/month: Your money grows far beyond what you put in.

At 18% annual return after 10 years: your \$12,000 investment becomes over \$33,000 — nearly 3x your money! You only saved \$100 per month.

Chapter 3

Table 2: Lump Sum Investment — The Power of Time

Invest a **one-time lump sum** and never add to it. This table shows how a single investment grows over 30 years at 12% annual return. Patience is everything.

Year	\$1,000	\$5,000	\$10,000	\$25,000	\$50,000
1	\$1,120	\$5,600	\$11,200	\$28,000	\$56,000
2	\$1,254	\$6,272	\$12,544	\$31,360	\$62,720
3	\$1,405	\$7,025	\$14,049	\$35,123	\$70,246
5	\$1,762	\$8,812	\$17,623	\$44,059	\$88,117
7	\$2,211	\$11,053	\$22,107	\$55,267	\$110,534
10	\$3,106	\$15,529	\$31,058	\$77,646	\$155,292
15	\$5,474	\$27,368	\$54,736	\$136,839	\$273,678
20	\$9,646	\$48,231	\$96,463	\$241,157	\$482,315
25	\$17,000	\$85,000	\$170,001	\$425,002	\$850,003
30	\$29,960	\$149,800	\$299,599	\$748,998	\$1,497,996

One-time investment growth at 12% per year. No additional contributions.

A single \$10,000 investment at 12% grows to over \$299,000 in 30 years. You did absolutely nothing — compounding did all the work for you.

Chapter 4

Table 3: How Monthly Amount Changes Everything

Compare different monthly amounts over **10, 20, and 30 years at 12% annual return**. Does it matter how much you invest per month? Yes — but consistency matters more.

Monthly	Total Invested (30yr)	Value (10 yr)	Value (20 yr)	Value (30 yr)	30yr Multiplier
\$50	\$18,000	\$11,617	\$49,957	\$176,496	9.8x
\$100	\$36,000	\$23,234	\$99,915	\$352,991	9.8x
\$200	\$72,000	\$46,468	\$199,830	\$705,983	9.8x
\$500	\$180,000	\$116,170	\$499,574	\$1,764,957	9.8x
\$1000	\$360,000	\$232,339	\$999,148	\$3,529,914	9.8x
\$2000	\$720,000	\$464,678	\$1,998,296	\$7,059,828	9.8x

All at 12%/year. Multiplier = final value divided by total invested.

The multiplier is the same regardless of amount — compounding works the same whether you invest \$50 or \$2,000. Start with whatever you have — just start today!

Chapter 5

Table 4: The Cost of Waiting — Start Age Matters Most

The most important table in this book. All investors put in **\$200/month at 12%** and retire at age 60. The only difference is when they started.

Start Age	Years Investing	Total Invested	Final Value at 60	Total Profit	Lost by Waiting
20	40	\$96,000	\$2,376,484	\$2,280,484	—
25	35	\$84,000	\$1,299,054	\$1,215,054	\$1,077,430
30	30	\$72,000	\$705,983	\$633,983	\$1,670,501
35	25	\$60,000	\$379,527	\$319,527	\$1,996,957
40	20	\$48,000	\$199,830	\$151,830	\$2,176,654
45	15	\$36,000	\$100,915	\$64,915	\$2,275,569
50	10	\$24,000	\$46,468	\$22,468	\$2,330,016

Starting 10 years later can cost you over \$1 million in final wealth.

Starting at 20 vs 30: the early starter ends up with over \$1,700,000 more — even investing the same \$200/month! Time is the most valuable asset you have.

Chapter 6

How to Start Investing Today

Step 1: Choose a Halal Fund

Top Shariah-compliant funds in Pakistan: Meezan Islamic Fund, UBL Al-Ameen Fund, MCB Islamic Income Fund. Open online in 15 minutes with your CNIC.

Step 2: Set a Monthly Amount

Start with even PKR 1,000/month. Consistency is key. Set up an automatic transfer so you never miss a payment.

Step 3: Choose Growth Option

Always select 'Growth' not 'Dividend'. Growth reinvests your returns automatically — this is what creates compounding!

Step 4: Never Withdraw Early

Early withdrawals destroy compounding. Treat your investment as untouchable for at least 5-10 years.

Step 5: Increase Every Year

Increase your monthly amount by 10-20% every year. Small increases dramatically change your final wealth.

The best time to start was 10 years ago. The second best time is TODAY.

JazakAllah Khair for Reading

May Allah put barakah in your wealth and make your investments a source of goodness for you and your family. Ameen.

Share this ebook with anyone who wants to build halal wealth. Knowledge shared is sadaqah jariyah.

— **Umair Tahir**
MoneyCompounding.com